

Zebra Technologies

Fourth Quarter and Full Year 2023 Results

February 15, 2024



Safe Harbor Statement

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Bill Burns, CEO

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Nathan Winters, CFO

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**Advancing Our Enterprise Asset
Intelligence Vision**
Bill Burns, CEO

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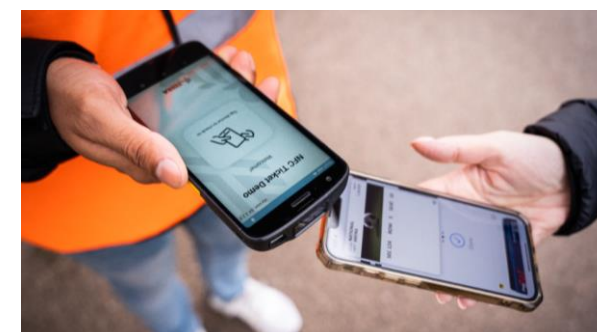
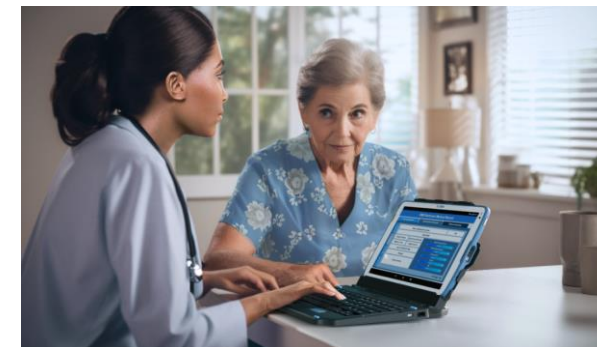
Q&A
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Nathan Winters, CFO



Fourth Quarter 2023 P&L Summary ⁽¹⁾

- Challenging sales and earnings results, as expected, driven by continued broad-based softness across our end markets
- Sales \$1,009M, (33)% organic sales decline
 - Broad-based declines across all regions and major product categories
 - Distributor destocking contributed to 1/4 of sales decline
 - Services & software a bright spot
- Adjusted EBITDA Margin of 15.4%, decreased (710) bps
 - Adjusted Gross Margin decreased (100) bps
 - Deleveraging on lower sales volume and a restructured supplier agreement
 - Partially offset by lower premium supply chain costs and improved services and software margin
 - Operating expense deleveraging on lower sales, partially offset by restructuring actions and cost containment
- Non-GAAP Diluted EPS \$1.71, down (64)%

Sequential improvement in sales, profitability, and cash flow driven by stabilized demand trends, restructuring actions, and inventory management initiatives



⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial measures

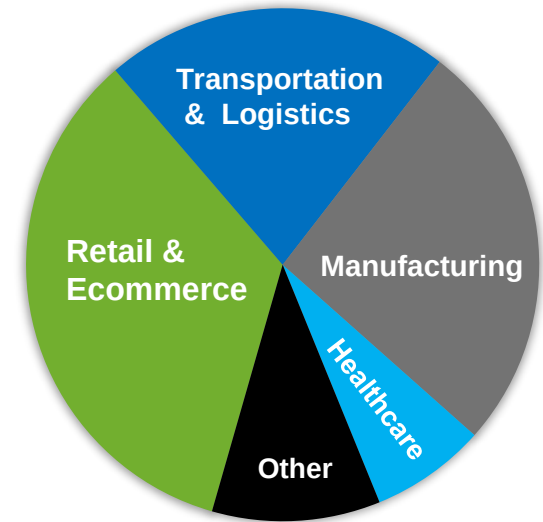
Reducing Costs & Driving Sales to Mitigate Current Demand Environment

- \$120M net annualized opex savings (previously \$100M)
 - Previously announced actions complete
 - New actions expected to be substantially complete by mid 2024
 - Expect \$130M total one-time charges from restructuring plans (previously \$105M)
- Renegotiating long-term supply commitments, and working with our contract manufacturers to draw down component inventories to normalized levels
 - Supplier renegotiations largely complete
 - \$10M expense to restructure a key contract
- Accelerating growth in under-penetrated markets (e.g., Japan, government, manufacturing, RFID, machine vision)
- Free Cash Flow conversion metric component of long-term incentive compensation plan
- Continuing to work closely with customers as they digitize and automate their operations

Attractive Long-Term Growth Opportunities Across Our End Markets

Market Served	Opportunity
Retail & Ecommerce	• Improve profitability of e-commerce order fulfillment from stores • Enhance associate and customer experiences to drive preference and growth • Reimagining checkout, inventory visibility and point-of-sale to address shrink • GenAI to empower front-line associates and create new ways of working
Manufacturing	• Acceleration of government regulations driving new traceability requirements • Machine vision, robotics and AI will deliver new levels of productivity & quality • Supply chain resiliency becomes table-stakes; real-time data demands increase
Transportation & Logistics	• Improve productivity and profitability of last-mile delivery • New levels of workflow automation required to address labor constraints • Increased utilization of 3PLs and greater demands on reverse logistics
Healthcare	• Accelerating workflows by digitally connecting assets, patients and staff • Patient engagement and virtual care, including home healthcare • Improving supply chain planning and execution across large health systems

Sales Mix by Vertical



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Fourth Quarter P&L Summary⁽¹⁾

In millions, except per share data	4Q23	4Q22	Change
Net Sales	\$1,009	\$1,503	(32.9)%
Organic Net Sales Decline ⁽²⁾			(33.1)%
Adjusted Gross Profit	\$450	\$686	(34.4)%
Adjusted Gross Margin	44.6%	45.6%	(100)bps
Adjusted Operating Expenses	\$312	\$364	(14.3)%
Adjusted EBITDA	\$155	\$338	(54.1)%
Adjusted EBITDA Margin	15.4%	22.5%	(710)bps
Non-GAAP Diluted EPS	\$1.71	\$4.75	(64.0)%

SEGMENT ORGANIC SALES DECLINE⁽²⁾

- EVM Segment (32.7)%
- AIT Segment (33.6)%

REGIONAL ORGANIC SALES DECLINE⁽²⁾

- North America (36)%
- EMEA (26)%
- Asia Pacific (34)%
- Latin America (35)%

EBITDA MARGIN AND EPS DECREASE

- Adjusted Gross Margin declined due to volume deleveraging and a restructured supplier agreement, partially offset by lower premium supply chain costs and improved services and software margin
- Lower Adjusted Operating Expenses
- Higher interest cost
- Lower tax rate

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial measures

⁽²⁾ Organic Net Sales Decline: constant FX to prior-year period and excludes revenue from acquisitions for the 12 months following each respective acquisition date

Cash Flow & Balance Sheet



Cash Flow: FY23

- Free cash flow of (\$91M), \$504M lower YoY
 - Lower operating profits
 - Higher tax payments and interest costs
 - Payments for restructuring actions
 - \$45M of additional settlement payments
- \$195M net borrowings
- \$52M share repurchases



Strong Liquidity Position: FYE 2023

- \$137M cash & cash equivalents
- \$2.2B total debt on balance sheet
- Net-debt-to-adjusted-EBITDA ratio of 2.5x
- \$1.1B capacity under revolving credit facility

Outlook & Assumptions

1Q24

- Sales decline between 17% and 20% YoY
 - ~ 50bps favorable impact from FX
- \$15M favorable gross profit impact from lower premium supply chain costs compared to pre-pandemic 2019 baseline
- Adjusted EBITDA margin ~ 18%
- Non-GAAP diluted EPS ~ \$2.30 to \$2.60

FY24

- Sales change between -1% and +3% YoY
 - Negligible impact from FX
- \$20M favorable gross profit impact from lower premium supply chain costs compared to pre-pandemic 2019 baseline
- Adjusted EBITDA margin ~ 19%
- Free cash flow expected to at least \$550M, including final \$45M settlement payment
- Capital expenditures \$80M – \$90M
- Depreciation \$65M – \$75M and Amortization \$95M – \$105M
- Stock-based compensation expense \$80M – \$90M
- All-In cost of borrowing/credit (pre-tax) ~ 7.5%
- Non-GAAP tax rate ~ 16%

We continue to be focused on right-sizing our cost structure and inventory levels, driving 100% cash conversion over a cycle, and taking an agile approach to navigating the uncertain near-term environment.

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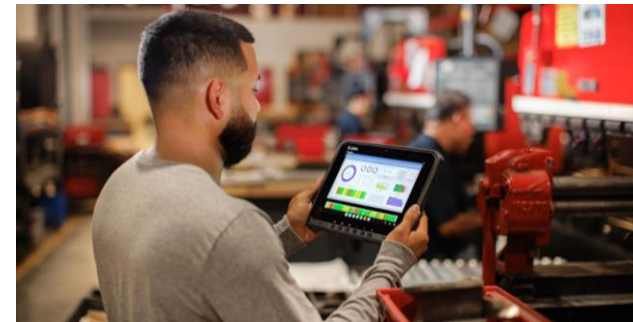
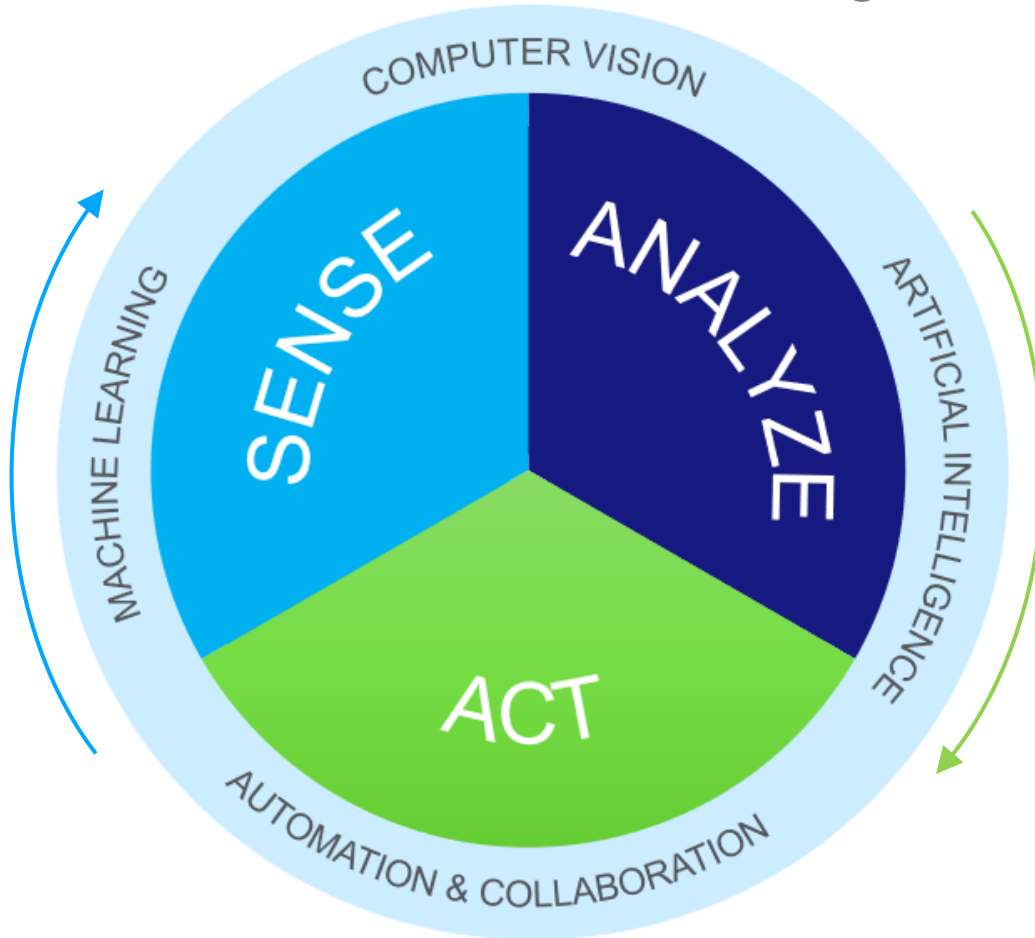


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Zebra Digitizes & Automates the Front Line of Business

Transforming Workflows: Purpose-Built Hardware + Software + Cloud Analytics

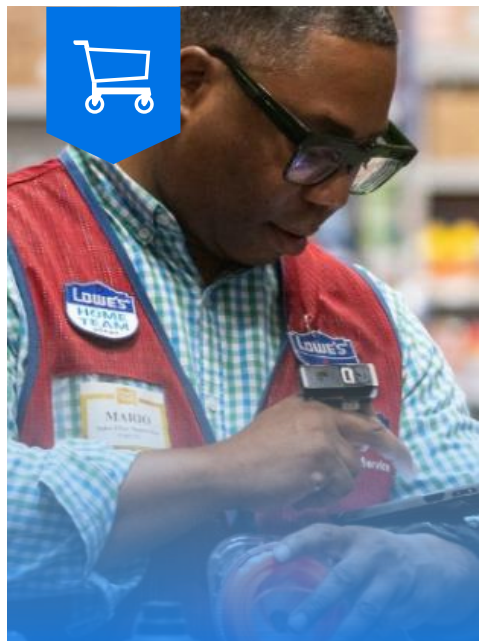
Real-Time Actionable Insights



Our solutions remain essential to our customers' operations, and we are well positioned to benefit from secular trends to digitize and automate workflows across our served markets.

Zebra Optimizes Workflows for the On-Demand Economy

Trusted Strategic Partner to Industry Leaders



Retail & E-Commerce

- Elevated Customer Experience
- Optimized Inventory
- Engaged Associates



Transportation & Logistics

- Enhance Worker Productivity
- Increase Asset Utilization and Inventory Visibility
- Meet Customer Expectations



Manufacturing

- Production Throughput
- Operational Excellence
- Quality and Compliance



Healthcare

- Safer Patient Outcomes
- Unified Staff Collaboration
- Strengthened Operational Efficiency

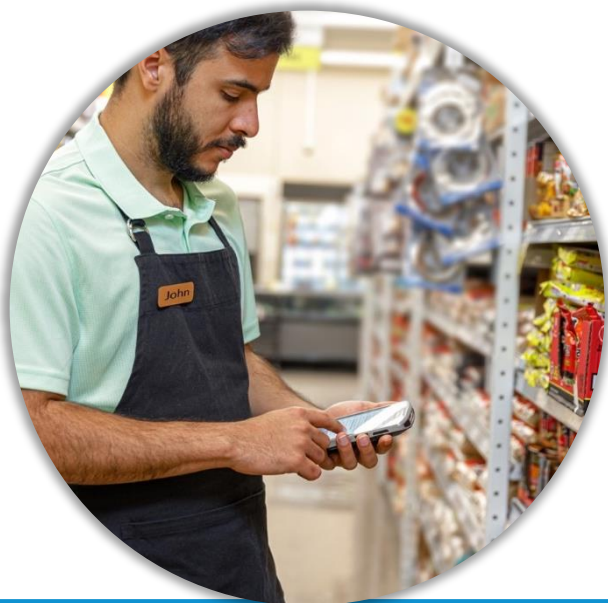


Other Markets

- Critical Communications
- Outage and Disaster Management

The Modern Store by Zebra

Helping Retailers Solve Their Most Pressing Challenges



Optimized Inventory

Easily locate products

Achieve inventory accuracy

Reduce product shrink rates

Increase forecast accuracy by 9%*



Engaged Associates

Reduce employee turnover

Reduce store labor spend

Improve on-time task completion

20% more time with customers*



Elevated Customer Experience

Improve customer satisfaction scores

Increase transaction value

Reduce customer wait times

Increase checkout speed by 32%*

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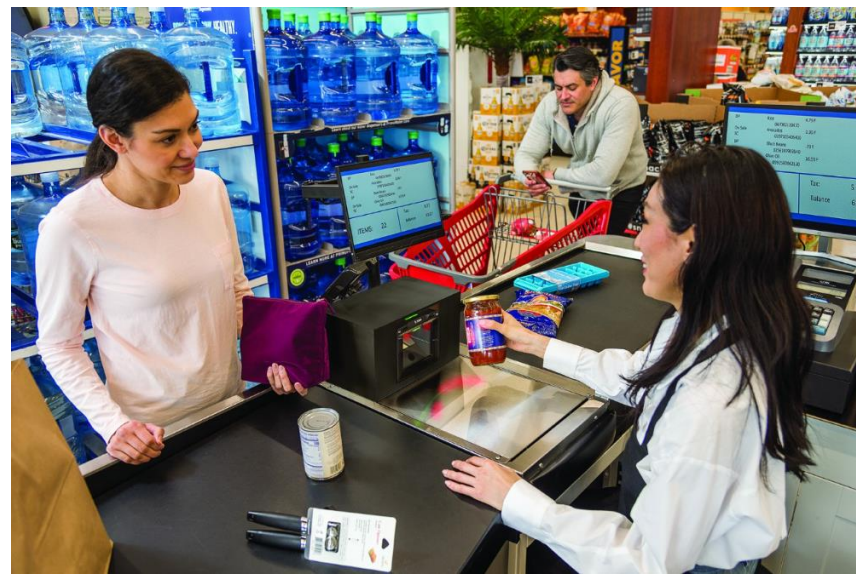
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Q&A

Appendix

Use of Non-GAAP Financial Information

This presentation contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “adjusted gross margin,” “EBITDA,” “Adjusted EBITDA,” “Adjusted EBITDA margin,” “Adjusted EBITDA % of adjusted net sales,” “non-GAAP net income,” “non-GAAP earnings per share,” “non-GAAP diluted earnings per share,” “free cash flow,” “organic net sales,” “organic net sales growth (decline),” “organic net sales decline,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to non-GAAP Financial Measures” tables and accompanying disclosures at the end of this presentation for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year periods. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Decline Reconciliation

(Unaudited)

	Three Months Ended		
	December 31, 2023		
	AIT	EVM	Consolidated
Consolidated Reported GAAP Net sales decline	(33.1)%	(32.8)%	(32.9)%
Adjustments:			
Impact of foreign currency translations ⁽¹⁾	(0.5)%	0.1 %	(0.2)%
Consolidated Organic Net sales decline	(33.6)%	(32.7)%	(33.1)%

	Twelve Months Ended		
	December 31, 2023		
	AIT	EVM	Consolidated
Consolidated Reported GAAP Net sales decline	(10.1)%	(25.6)%	(20.7)%
Adjustments:			
Impact of foreign currency translations ⁽¹⁾	1.3 %	1.5 %	1.4 %
Impact of acquisitions ⁽²⁾	—	(0.8)%	(0.5)%
Consolidated Organic Net sales decline	(8.8)%	(24.9)%	(19.8)%

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.
- (2) For purposes of computing Organic Net sales decline, amounts directly attributable to business acquisitions are excluded for twelve months following their respective acquisitions.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	December 31, 2023			December 31, 2022		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 346	\$ 663	\$ 1,009	\$ 517	\$ 986	\$ 1,503
Reported Gross profit	159	289	448	238	447	685
Gross Margin	46.0 %	43.6 %	44.4 %	46.0 %	45.3 %	45.6 %

Non-GAAP

Adjusted Net sales	\$ 346	\$ 663	\$ 1,009	\$ 517	\$ 986	\$ 1,503
Adjusted Gross profit ⁽¹⁾	160	290	450	239	447	686
Adjusted Gross Margin	46.2 %	43.7 %	44.6 %	46.2 %	45.3 %	45.6 %

	Twelve Months Ended					
	December 31, 2023			December 31, 2022		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 1,651	\$ 2,933	\$ 4,584	\$ 1,837	\$ 3,944	\$ 5,781
Reported Gross profit	787	1,336	2,123	795	1,829	2,624
Gross Margin	47.7 %	45.6 %	46.3 %	43.3 %	46.4 %	45.4 %

Non-GAAP

Adjusted Net sales	\$ 1,651	\$ 2,933	\$ 4,584	\$ 1,837	\$ 3,944	\$ 5,781
Adjusted Gross profit ⁽¹⁾	789	1,340	2,129	797	1,833	2,630
Adjusted Gross Margin	47.8 %	45.7 %	46.4 %	43.4 %	46.5 %	45.5 %

(1) Adjusted Gross profit excludes share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Twelve Months Ended	
	December 31, 2023	December 31, 2022	December 31, 2023	December 31, 2022
GAAP Net income	\$ 17	\$ 186	\$ 296	\$ 463
Adjustments to Cost of sales ⁽¹⁾				
Share-based compensation	2	1	6	6
Total adjustments to Cost of sales	2	1	6	6
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	26	29	104	136
Acquisition and integration costs	2	2	6	21
Settlement and related costs	—	—	—	372
Share-based compensation	18	20	60	90
Exit and restructuring costs	16	10	98	14
Total adjustments to Operating expenses	62	61	268	633
Adjustments to Other income (expense), net ⁽¹⁾				
Amortization of debt issuance costs and discounts	1	—	3	4
Investment loss	—	—	1	—
Foreign exchange loss	4	8	2	3
Forward interest rate swap loss (gain)	25	1	(9)	(83)
Total adjustments to Other income (expense), net	30	9	(3)	(76)
Income tax effect of adjustments ⁽²⁾				
Reported income tax expense	(15)	39	38	81
Adjusted income tax	(7)	(50)	(97)	(189)
Total adjustments to income tax	(22)	(11)	(59)	(108)
Total adjustments	72	60	212	455
Non-GAAP Net income	\$ 89	\$ 246	\$ 508	\$ 918
GAAP earnings per share				
Basic	\$ 0.32	\$ 3.59	\$ 5.75	\$ 8.86
Diluted	\$ 0.31	\$ 3.57	\$ 5.72	\$ 8.80
Non-GAAP earnings per share				
Basic	\$ 1.72	\$ 4.78	\$ 9.88	\$ 17.59
Diluted	\$ 1.71	\$ 4.75	\$ 9.82	\$ 17.47
Basic weighted average shares outstanding	51,366,299	51,645,205	51,378,051	52,207,903
Diluted weighted average and equivalent shares outstanding	51,687,374	51,942,060	51,710,962	52,558,712

(1) Presented on a pre-tax basis.

(2) Represents adjustments to GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions), as well as adjustments to exclude the impacts of certain discrete income tax items and incorporate the anticipated annualized effects of current year tax planning.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Twelve Months Ended	
	December 31, 2023	December 31, 2022	December 31, 2023	December 31, 2022
GAAP Net income	\$ 17	\$ 186	\$ 296	\$ 463
Add back:				
Depreciation (excluding exit and restructuring costs)	17	16	69	67
Amortization of intangible assets	26	29	104	136
Total Other expense (income), net	72	35	147	(15)
Income tax (benefit) expense	(15)	39	38	81
EBITDA (Non-GAAP)	117	305	654	732
Adjustments to Cost of sales				
Share-based compensation	2	1	6	6
Total adjustments to Cost of sales	2	1	6	6
Adjustments to Operating expenses				
Acquisition and integration costs	2	2	6	21
Settlement and related costs	—	—	—	372
Share-based compensation	18	20	60	90
Exit and restructuring costs	16	10	98	14
Total adjustments to Operating expenses	36	32	164	497
Total adjustments to EBITDA	38	33	170	503
Adjusted EBITDA (Non-GAAP)	\$ 155	\$ 338	\$ 824	\$ 1,235
Adjusted EBITDA % of Adjusted Net Sales (Non-GAAP)	15.4 %	22.5 %	18.0 %	21.4 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Twelve Months Ended	
	December 31, 2023	December 31, 2022
Net cash (used in) provided by operating activities	\$ (4)	\$ 488
Less: Purchases of property, plant and equipment	(87)	(75)
Free cash flow (Non-GAAP) ⁽¹⁾	<u>\$ (91)</u>	<u>\$ 413</u>

- (1) Free cash flow, a non-GAAP measure, is defined as Net cash (used in) provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.



About Zebra

Zebra (NASDAQ: ZBRA) empowers the front line of business in retail, manufacturing, transportation and logistics, healthcare, and other industries to achieve a performance edge. We deliver industry-tailored, end-to-end solutions that intelligently connect people, assets and data to help our customers make business-critical decisions.

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